MULTI FX

TRADING STRATEGY GUIDE

(In Partnership with ABECfx Academy)

VOLATILITY INDICES
SMART MONEY CONCEPT



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Introduction

Welcome to this Volatility Index Trading Strategy Guide. The purpose of this guide is to equip traders with the knowledge, skills, and structured approach required to understand and confidently apply a Volatility Index trading strategy.

Rather than focusing solely on entry and exit signals, this guide emphasizes the importance of understanding the principles behind every trading decision. By combining a well-defined strategy with sound market knowledge, disciplined execution, and effective risk management, traders can develop consistency and improve their overall decision-making.

Although this guide is centered on trading Volatility Indices using the Smart Money Concept, success begins with mastering the fundamentals of financial market analysis. The concepts that govern price movement, market structure, risk management, and trading psychology are universal and form the foundation of every successful trader, regardless of the market being traded.

For this reason, we will begin with a concise introduction to the fundamentals of trading before progressing to the Volatility Index strategy. This section is designed to provide a solid foundation by covering the essential concepts every trader should understand. Whether you are new to trading or simply refreshing your knowledge, these fundamentals will help you understand not only how the strategy works, but also why it works.

Throughout the introductory section, you will be introduced to core topics including market terminology, price charts, candlestick analysis, market structure, support and resistance, trend analysis, technical indicators, risk management, and trading psychology. These concepts are essential for interpreting market behavior, managing trades effectively, and applying any trading strategy with confidence.

Once you have built a strong understanding of these fundamentals, the guide will transition into the Volatility Index trading strategy, where each rule, setup, and execution technique will be explained step by step using practical examples. The objective is not simply to teach you a strategy, but to help you develop the analytical mindset, discipline, and consistency required to become a confident and profitable trader over the long term.

Take your time to study each section carefully before moving on. A strong foundation is one of the most valuable investments you can make in your trading journey, and it will significantly increase your ability to apply the strategy effectively in real market conditions.

SECTION 1

Introduction to Forex

What is Forex?

Forex (foreign exchange or FX) is the global market where one currency is exchanged for another. It supports international trade, tourism, investment, and cross-border payments. Unlike stock markets, Forex is an over-the-counter (OTC) market, meaning trading occurs electronically through banks and brokers rather than on a central exchange.

Example

A traveler from Nigeria visiting the United Kingdom exchanges Nigerian Naira for British Pounds. Businesses importing goods also exchange currencies. Traders speculate on these exchange-rate movements to seek profits.

Key Facts

The Forex market operates 24 hours a day from Monday to Friday through the Sydney, Tokyo, London, and New York trading sessions. It is the world's largest financial market by daily trading volume.

KEY TAKEAWAYS

- Understand the concepts before trading real money.
- Practice on a demo account.
- Follow a trading plan.
- Protect capital through risk management.

REVIEW QUESTIONS

1. What is the main idea of this chapter?
2. How would you apply it in a trade?
3. What mistakes should be avoided?

SECTION 2

Currency Pairs

Base and Quote Currency

Currencies are quoted in pairs. In EUR/USD, EUR is the base currency and USD is the quote currency. If EUR/USD is 1.1500, one euro is worth 1.15 US dollars.

Major Pairs

Major pairs include EUR/USD, GBP/USD, USD/JPY, USD/CHF, AUD/USD, USD/CAD and NZD/USD. They generally have the highest liquidity and lowest spreads.

Example

If you buy EUR/USD at 1.1000 and sell at 1.1050, the price moved 50 pips in your favor.

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SECTION 3

Essential Trading Terms

Pip

A pip is usually the fourth decimal place in most currency pairs and represents a small price movement.

Spread

The spread is the difference between the bid and ask price and represents part of the cost of trading.

Leverage

Leverage allows traders to control larger positions with a smaller deposit. While it can increase profits, it also increases risk.

Margin

Margin is the amount of money required to open and maintain a leveraged position.

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SECTION 4

Reading Charts

Candlesticks

Candlestick charts display the open, high, low and close prices for a chosen time period.

Trend

An uptrend forms higher highs and higher lows. A downtrend forms lower highs and lower lows. A ranging market moves sideways.

Example

Many traders wait for price to respect a support level before considering a buy opportunity.

KEY TAKEAWAYS

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SECTION 5

Risk Management

Position Sizing

Professional traders typically risk only a small percentage of their account on each trade.

Risk-to-Reward

A common objective is risking 1 unit to target at least 2 units of potential reward.

Stop Loss

A stop-loss order limits losses if price moves against your trade.

Common Mistakes

Overleveraging, moving stop losses, revenge trading and risking too much on one trade.

KEY TAKEAWAYS

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REVIEW QUESTIONS

1. What is the main idea of this chapter?
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3. What mistakes should be avoided?

SECTION 6

Trading Psychology

Discipline

Successful trading depends on consistently following a trading plan rather than emotions.

Fear and Greed

Fear causes traders to exit too early while greed encourages holding positions too long.

Trading Journal

Record every trade, why it was entered, the result and lessons learned.

KEY TAKEAWAYS

- Understand the concepts before trading real money.
- Practice on a demo account.
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- Protect capital through risk management.

REVIEW QUESTIONS

1. What is the main idea of this chapter?
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3. What mistakes should be avoided?

Quick Glossary

Bid	Price at which the market buys.
Ask	Price at which the market sells.
Lot	Standard trading volume.
Liquidity	Ease of buying or selling without significantly affecting price.
Volatility	Rate at which prices change.

Understanding Candlestick Charts

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Candlestick charts are one of the most widely used tools in financial markets because they provide a clear visual representation of price movement over a specific period. Whether you are trading Volatility Indices, Forex, stocks, or cryptocurrencies, understanding candlesticks is a fundamental skill that every trader must develop.

Every trading decision begins with price, and candlesticks tell the story of how price moved during a selected timeframe. By learning how to read candlesticks, traders can better understand the battle between buyers and sellers, identify market sentiment, and recognize potential trading opportunities.

What Is a Candlestick?

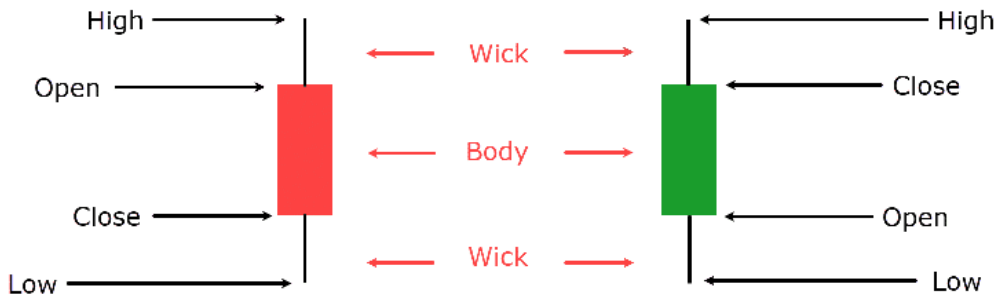
A candlestick is a graphical representation of price movement over a specific period of time. Each candlestick displays four important pieces of information:

Open Price – The price at which the trading period began.

High Price – The highest price reached during the period.

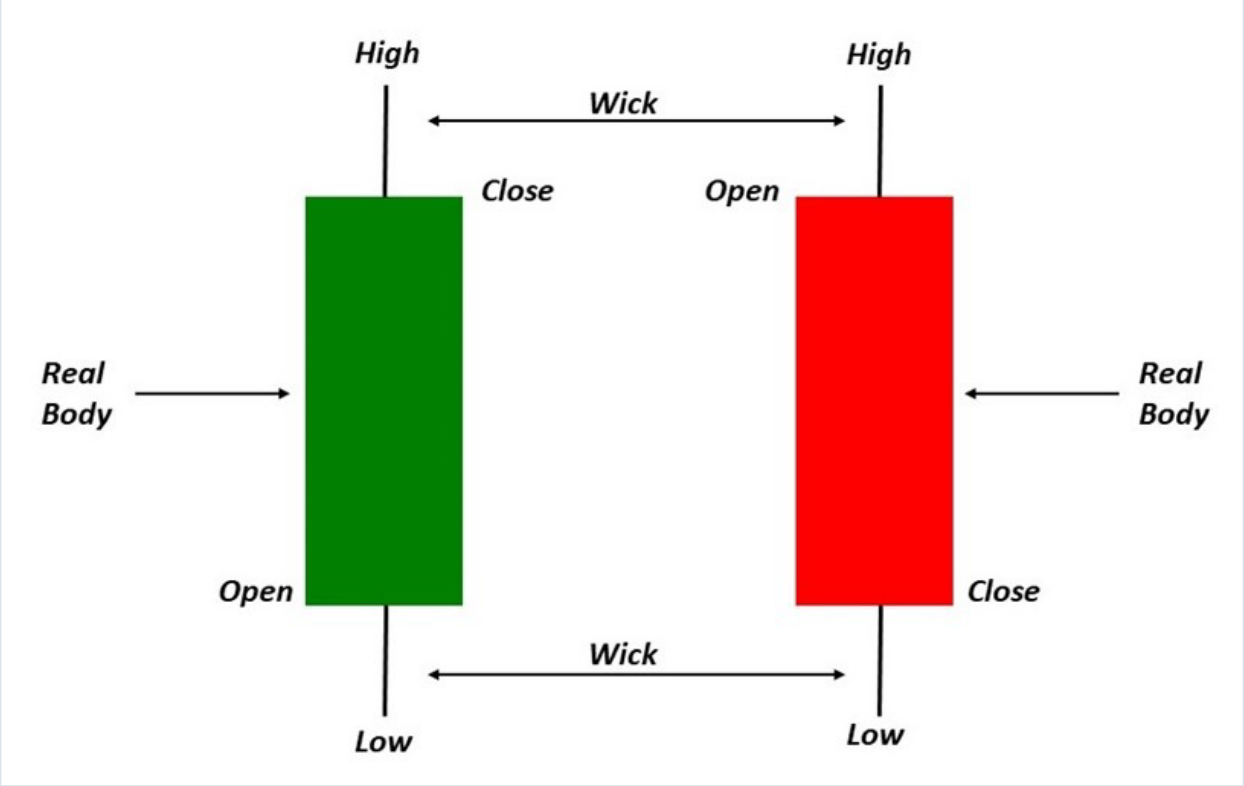
Low Price – The lowest price reached during the period.

Close Price – The price at which the trading period ended.



Together, these four prices provide valuable insight into how the market behaved during that timeframe.

Anatomy of a Candlestick



A candlestick consists of two main parts:

1. The Body

The body represents the distance between the opening price and the closing price.

A long body indicates strong buying or selling pressure.

A short body indicates limited price movement and market indecision.

2. The Wicks (Shadows)

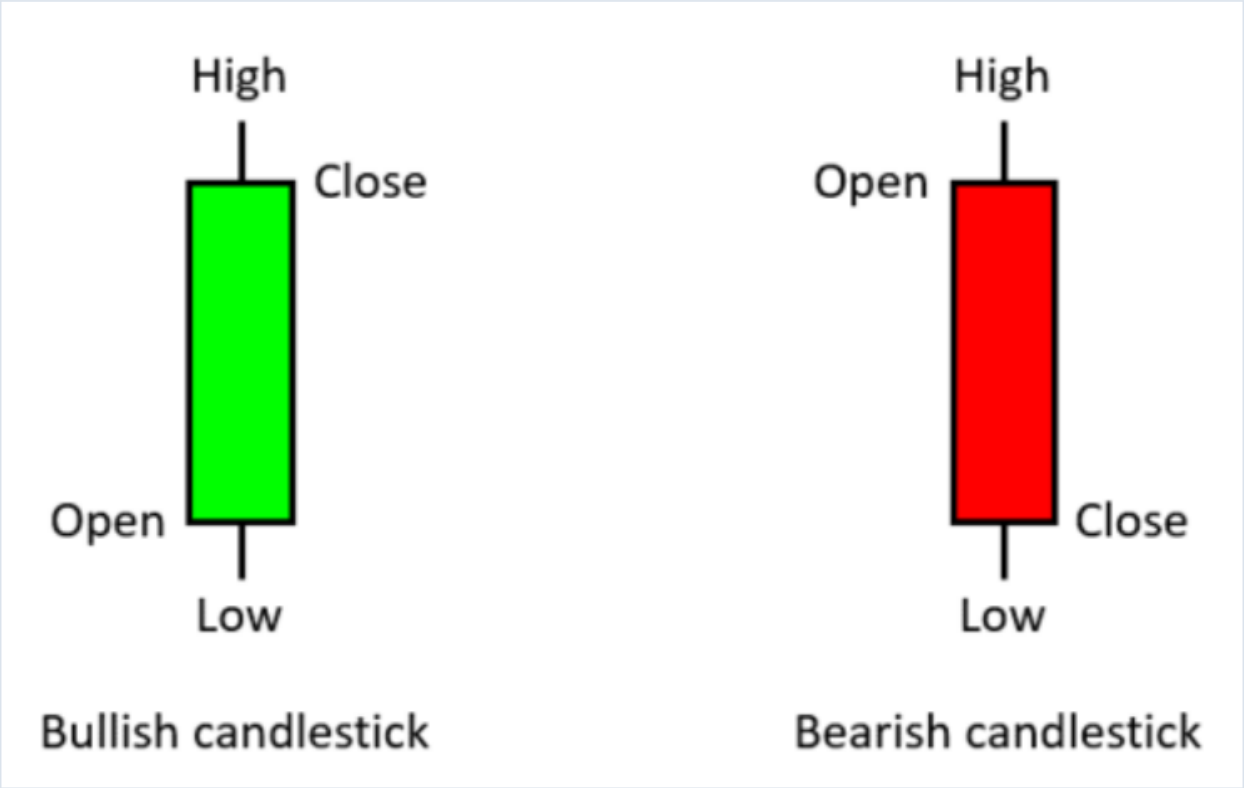
The thin lines extending above and below the body are called wicks or shadows.

The upper wick shows the highest price reached before the market moved lower.

The lower wick shows the lowest price reached before the market moved higher.

Long wicks often indicate rejection of certain price levels and can provide valuable information about buyer and seller activity.

Bullish and Bearish Candlesticks



Candlesticks are generally classified into two categories:

Bullish Candlestick

A bullish candlestick forms when the closing price is higher than the opening price.

This indicates that buyers were stronger than sellers during that trading period and successfully pushed prices higher.

Bullish candles are commonly displayed in green, blue, or white, depending on the trading platform.

Bearish Candlestick

A bearish candlestick forms when the closing price is lower than the opening price.

This suggests that sellers controlled the market during that period and drove prices lower.

Bearish candles are commonly displayed in red or black.

What Candlesticks Tell You

Every candlestick represents the outcome of the continuous battle between buyers and sellers. For example:

A large bullish candle indicates strong buying momentum.

A large bearish candle indicates strong selling momentum.

A candle with long upper and lower wicks suggests uncertainty or indecision.

A small candle often indicates that neither buyers nor sellers have taken control.

It is important to remember that a single candlestick should never be used in isolation to make a trading decision. Instead, traders should analyze candlesticks within the context of the overall market trend, nearby support and resistance levels, and the broader market structure.

Candlestick Timeframes

Each candlestick represents price movement over a specific period of time, known as a timeframe. For example:

COMMON TRADING TIMEFRAMES

TIMEFRAME	EACH CANDLESTICK REPRESENTS	DESCRIPTION
M1	1 minute	Short-term, very detailed price movements.
M5	5 minutes	Short-term trading and quick setups.
M15	15 minutes	Popular for intraday trading and analysis.
M30	30 minutes	Intraday trend analysis and trade setups.
H1	1 hour	Widely used for trend identification.
H4	4 hours	Great for swing trading and trend confirmation.
D1	1 day	Used for daily analysis and major trend direction.
W1	1 week	Helps identify long-term trends and key levels.
MN	1 month	Long-term overview and major market cycles.

The appearance of a candlestick changes depending on the selected timeframe. A candle on the 1-minute chart may look completely different from the corresponding candle on the 1-hour or

daily chart because each timeframe summarizes price movement over a different duration.

Types of Candlesticks

Candlesticks come in different shapes and sizes, each providing valuable information about the balance between buyers and sellers during a specific trading period. While a single candlestick does not guarantee the market's next move, it can provide important clues about momentum, indecision, reversals, or trend continuation when analyzed within the context of the overall market structure.

Understanding the different types of candlesticks is an essential step toward becoming a successful trader. Rather than memorizing patterns, traders should focus on understanding the story each candlestick tells.

1. Bullish Candlestick

A bullish candlestick forms when the closing price is higher than the opening price, indicating that buyers controlled the market during that trading period.

Bullish candlesticks are commonly displayed in green, blue, or white, depending on the trading platform.

CHARACTERISTICS:

- Close is above the open.
- Indicates buying pressure.
- Often appears during an uptrend or at the beginning of a potential reversal.

2. Bearish Candlestick

A bearish candlestick forms when the closing price is lower than the opening price, showing that sellers dominated the market during that period.

Bearish candlesticks are commonly displayed in red or black.

CHARACTERISTICS:

- Close is below the open.
- Indicates selling pressure.
- Often appears during a downtrend or at the beginning of a bearish reversal.

3. Long Bullish Candle

A long bullish candle has a large body with little or no wicks.

This indicates that buyers maintained strong control from the opening price until the market closed.

WHAT IT SUGGESTS:

- Strong buying momentum.
- Buyers are in control.
- Trend continuation is likely if supported by market structure.

4. Long Bearish Candle

A long bearish candle has a large body with small wicks.

This indicates aggressive selling pressure throughout the trading session.

WHAT IT SUGGESTS:

- Strong selling momentum.
- Sellers are controlling the market.
- Often confirms bearish market sentiment.

5. Doji

A Doji forms when the opening and closing prices are equal or nearly equal.

Because neither buyers nor sellers gain control, the candle reflects market indecision.

CHARACTERISTICS:

- Very small body.
- Upper and lower wicks may vary in length.
- Signals uncertainty.
- Often appears before a trend reversal or continuation.

6. Hammer

A Hammer is a bullish reversal candlestick that usually appears after a downtrend.

It has:

- A small body near the top.
- A long lower wick.
- Little or no upper wick.

The long lower wick shows that sellers initially pushed prices lower, but buyers regained control before the candle closed.

WHAT IT SUGGESTS:

Rejection of lower prices.

Potential bullish reversal.

7. Inverted Hammer

An Inverted Hammer also appears after a downtrend.

It has:

Small body.

Long upper wick.

Small or no lower wick.

Although sellers initially controlled the market, buyers attempted to push prices higher.

WHAT IT SUGGESTS:

Buyers are becoming active.

Possible bullish reversal if confirmed.

8. Hanging Man

The Hanging Man looks exactly like the Hammer but appears after an uptrend.

Although buyers managed to close the candle near the top, the long lower wick reveals strong selling pressure during the trading period.

WHAT IT SUGGESTS:

Buyers may be losing strength.

Possible bearish reversal.

9. Shooting Star

A Shooting Star appears after an uptrend.

It has:

Small body near the bottom.

Long upper wick.

Little or no lower wick.

This candle indicates that buyers pushed prices significantly higher, but sellers stepped in and forced the market back down before the close.

WHAT IT SUGGESTS:

Rejection of higher prices.

Potential bearish reversal.

10. Spinning Top

A Spinning Top has a small body with long upper and lower wicks.

Neither buyers nor sellers are able to establish dominance.

WHAT IT SUGGESTS:

Market indecision.

Weak momentum.

Wait for confirmation before entering a trade.

11. Marubozu

A Marubozu is a candlestick with little or no wicks.

There are two types:

Bullish Marubozu – Strong buying throughout the trading period.

Bearish Marubozu – Strong selling throughout the trading period.

WHAT IT SUGGESTS:

Strong momentum.

High conviction by buyers or sellers.

Often signals trend continuation.

IMPORTANT NOTE

No candlestick should be used as a standalone trading signal. Every candlestick must be analyzed together with:

- Market structure
- Support and resistance
- Trend direction
- Volume (where available)
- Risk management principles

The highest-probability trading opportunities occur when candlestick signals align with these additional forms of analysis rather than being traded in isolation.

KEY TAKEAWAYS

- Every candlestick represents the battle between buyers and sellers.
- Bullish candles indicate buying pressure, while bearish candles indicate selling pressure.
- Long-bodied candles show strong momentum.
- Candles with long wicks often indicate price rejection.
- Indecision candles should always be confirmed before taking a trade.
- Always combine candlestick analysis with market structure and sound risk management for more reliable trading decisions.

Why Candlesticks Matter

Candlestick charts provide traders with valuable information beyond simple price levels. They help identify momentum, market sentiment, rejection of key price zones, and potential reversals or continuations. For this reason, they are one of the most effective tools for analyzing price action.

Developing the ability to read candlesticks is an essential step toward understanding market behavior. As you continue through this guide, you will learn how individual candlesticks combine to form recognizable patterns and how these patterns can be used alongside market structure and risk management to improve trading decisions.

KEY TAKEAWAYS

- A candlestick shows the Open, High, Low, and Close (OHLC) of a trading period.
- The body represents the difference between the opening and closing prices.
- The wicks show the highest and lowest prices reached during the trading period.
- Bullish candles indicate buying pressure, while bearish candles indicate selling pressure.
- Candlesticks should always be analyzed within the context of market structure and the overall trend, not as standalone trading signals.

Understanding Volatility Indices

Before learning the trading strategy, it is important to understand the market you will be trading. This guide focuses on Volatility Indices, which are synthetic financial instruments designed to simulate different levels of market volatility.

Unlike traditional financial markets such as Forex, stocks, or commodities, Volatility Indices are not influenced by economic news, interest rate decisions, geopolitical events, or market sentiment. Instead, they are generated using a cryptographically secure Random Number Generator (RNG), creating price movements that are designed to reflect specific levels of volatility while remaining available for trading 24 hours a day, 7 days a week.

Because these indices are continuously available and operate independently of traditional market hours, they have become increasingly popular among traders seeking consistent market access and the opportunity to apply technical analysis without interruptions caused by market closures.

Each Volatility Index has its own unique characteristics, including its average volatility, price movement, and trading behavior. Understanding these differences is essential, as not every index behaves the same way. Choosing the appropriate index should depend on your trading style, risk tolerance, and experience.

Common Volatility Indices

The most commonly traded Volatility Indices include:

- Volatility 10 Index (Volatility 10)
- Volatility 25 Index (Volatility 25)
- Volatility 50 Index (Volatility 50)
- Volatility 75 Index (Volatility 75)
- Volatility 100 Index (Volatility 100)

Each of these indices is also available in 1-second versions, which update more frequently and produce faster price movements:

- Volatility 10 (1s) Index
- Volatility 25 (1s) Index
- Volatility 50 (1s) Index
- Volatility 75 (1s) Index
- Volatility 100 (1s) Index

Understanding the Numbers

The number assigned to each Volatility Index represents its constant volatility level.

- Volatility 10 Index simulates approximately 10% volatility and generally experiences smaller price fluctuations.
- Volatility 25 Index simulates 25% volatility, offering moderate price movement.
- Volatility 50 Index simulates 50% volatility, providing a balance between stability and volatility.
- Volatility 75 Index simulates 75% volatility and is known for its larger and faster price swings.
- Volatility 100 Index simulates 100% volatility, making it one of the most volatile synthetic indices and generally suitable for experienced traders with strong risk management.

The 1-second variants follow the same volatility characteristics but generate price updates more frequently, making them particularly attractive to short-term traders and scalpers.

Choosing the Right Volatility Index

There is no single “best” Volatility Index. The most suitable choice depends on your trading objectives, preferred timeframe, and ability to manage risk.

Traders who prefer slower, more controlled price action may find lower-volatility indices more comfortable, while those seeking larger price movements often choose higher-volatility indices. Regardless of the index selected, the principles of technical analysis, disciplined execution, and effective risk management remain the foundation of consistent trading success.

Throughout this guide, you will learn how to analyze these markets and apply the trading strategy with confidence, regardless of which Volatility Index you choose to trade.

Smart Money Concept (SMC)

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Introduction

Smart Money Concepts (SMC) is a price-action framework used to study market structure, liquidity, price imbalances and areas where significant buying or selling may have influenced price movement.

The central idea is simple: instead of relying primarily on traditional indicators, SMC traders study how price moves from one area of liquidity to another, how market structure changes, and how price reacts around important zones.

SMC is commonly associated with the teachings of Michael J. Huddleston, known as The Inner Circle Trader (ICT), whose work popularized concepts such as liquidity, market structure, order blocks and fair value gaps. Modern SMC, however, is used broadly by traders and may differ in terminology and interpretation from one educator to another.

The SMC Framework

At its core, SMC can be organized around a few major concepts:

1. Market Structure
2. Liquidity
3. Order Blocks
4. Breaker Blocks
5. Fair Value Gaps
6. Break of Structure (BOS)
7. Change of Character (ChoCH)
8. Premium and Discount
9. Accumulation and Distribution
10. Liquidity Grabs
11. Risk Management

These concepts are not meant to be viewed independently. The real value of SMC comes from combining them to build a logical picture of what price is doing.

1. Market Structure

Market structure is the foundation of SMC.

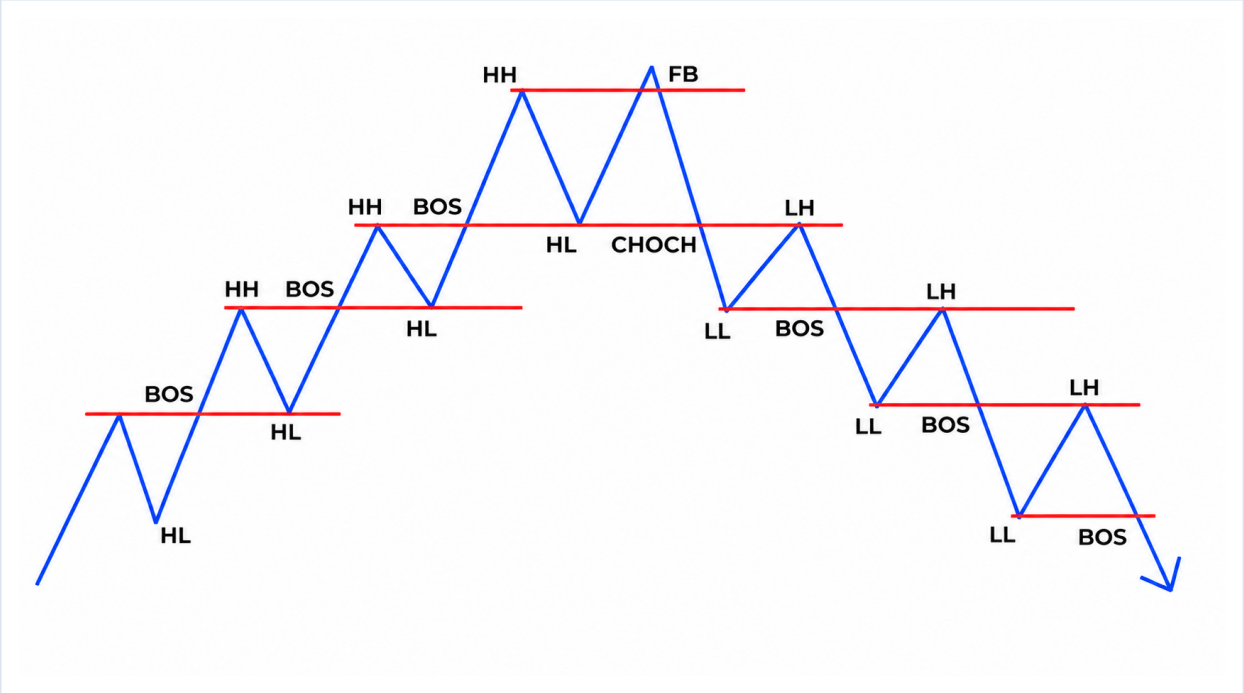
Price generally forms a sequence of Higher Highs (HH), Higher Lows (HL), Lower Highs (LH), and Lower Lows (LL).

An uptrend typically forms:

> HH → HL → HH → HL

A downtrend typically forms:

> LL → LH → LL → LH



By identifying these swings, a trader can determine the current directional structure of the market.

The objective is not simply to predict whether price will rise or fall. Instead, the trader observes whether the existing structure is being respected or broken.

2. Liquidity

Liquidity refers to areas where a large number of orders are likely to exist.

Common examples include:

- Previous highs
- Previous lows

Equal highs

Equal lows

Obvious support and resistance areas

Stop-loss clusters



SMC traders pay close attention to these areas because price may move toward them before making its next significant move.

A liquidity grab or liquidity sweep occurs when price moves through an obvious high or low, triggers orders around that area, and then reverses.

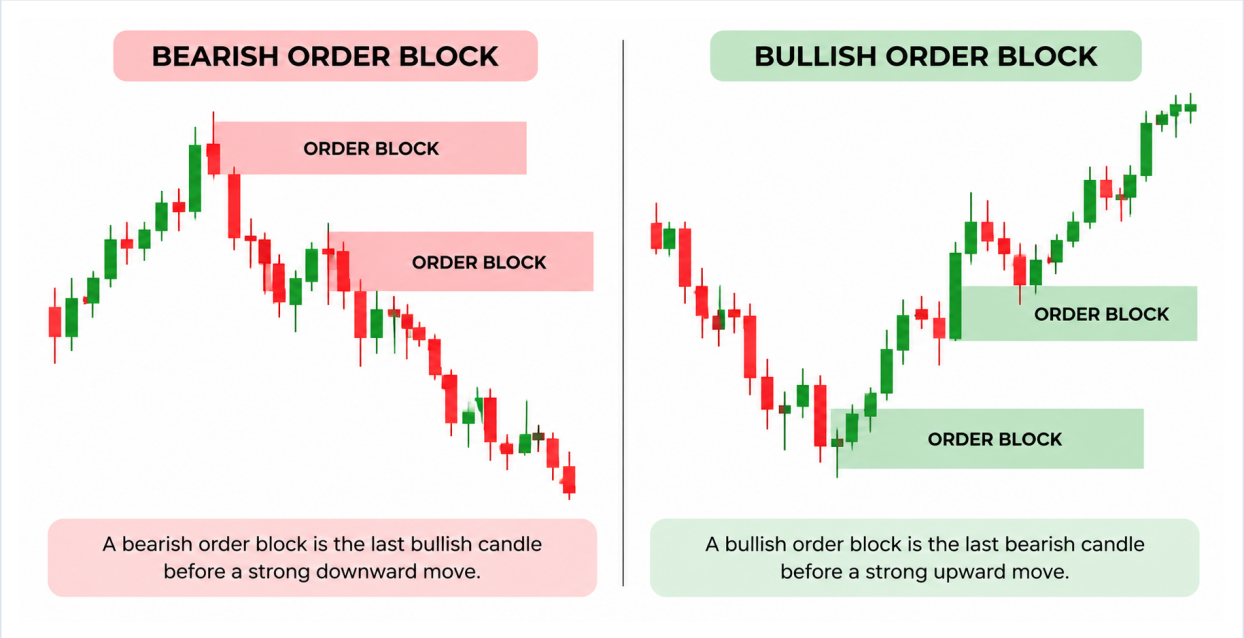
The important lesson is to avoid assuming that every breakout is a genuine continuation. The reaction after the breakout matters.

3. Order Blocks

An order block is an area on the chart associated with a significant price move.

A *bullish order block* is commonly identified around the final bearish candle before a strong bullish move.

A *bearish order block* is commonly identified around the final bullish candle before a strong bearish move.



Traders monitor these areas because price may return to them later and react.

However, an order block should not automatically be treated as a guaranteed reversal zone. Its significance becomes stronger when it aligns with market structure, liquidity and other forms of confirmation.

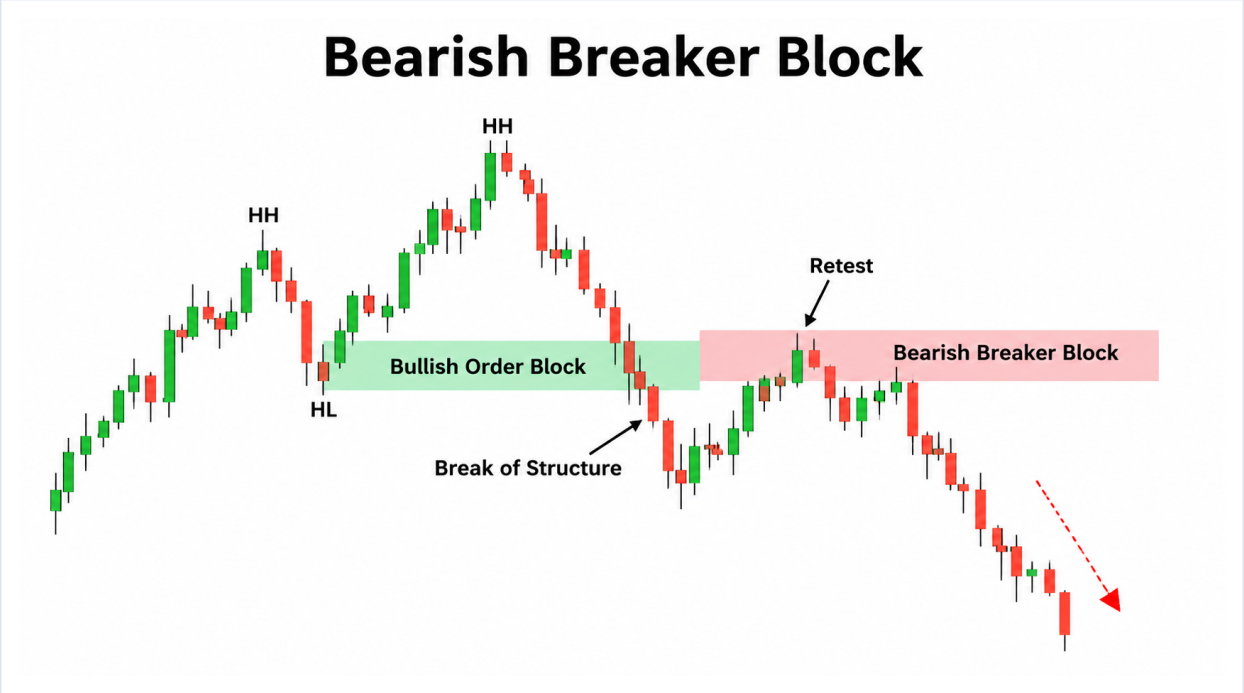
4. Breaker Blocks

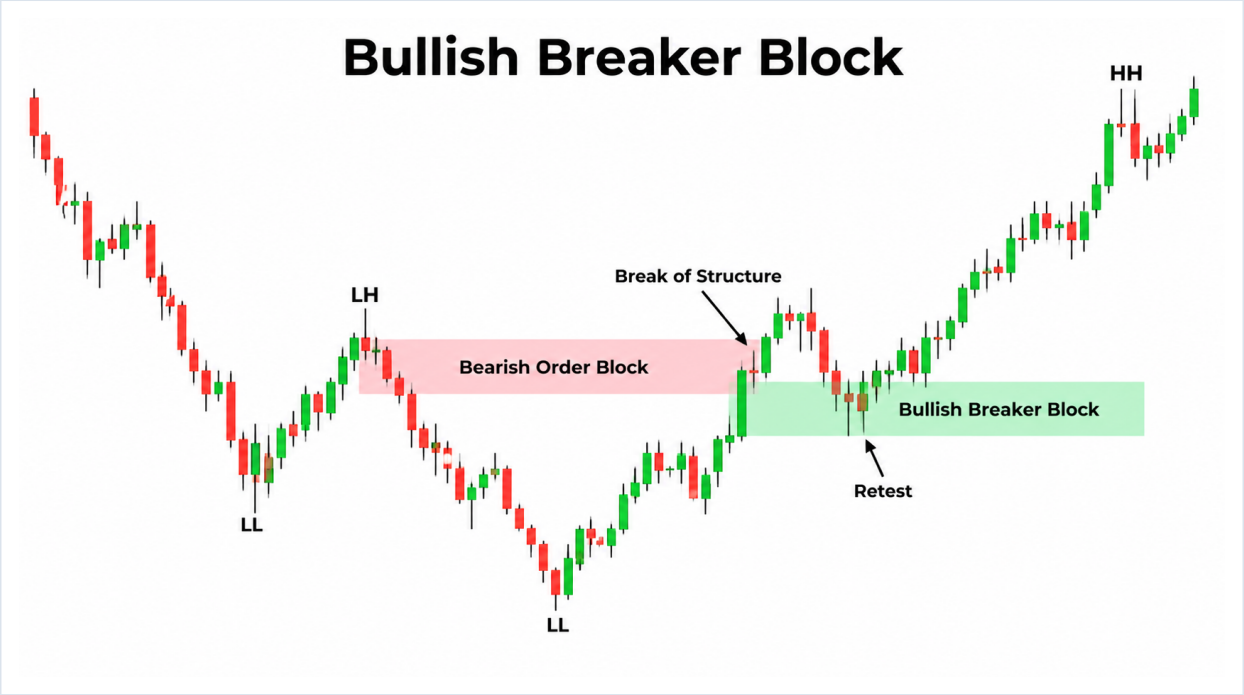
A breaker block develops when a previously respected order block fails and price breaks through its structure.

Also, breaker blocks are price zones that appear after a market structure breakout, which occurs due to the inability to maintain critical liquidity levels. These areas are formed when institutional traders first trigger a false movement in one direction to harvest liquidity from retail traders, and then abruptly change the direction of price movement, causing the price to break through a key level.

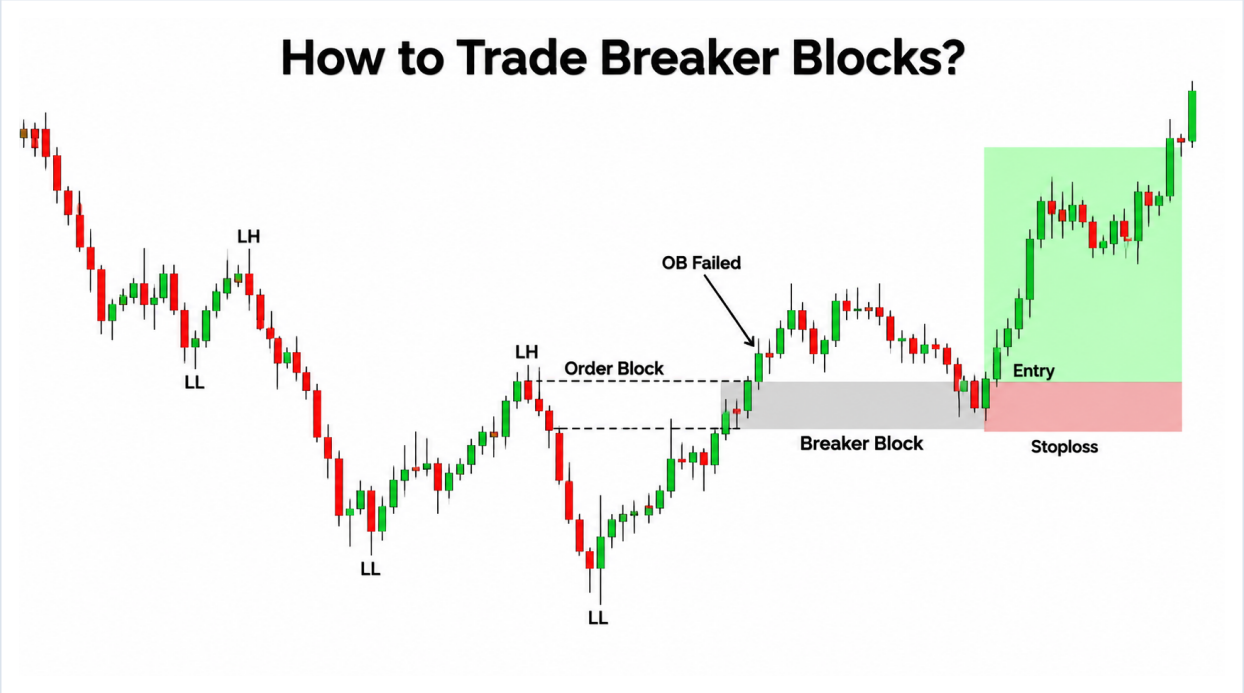
For example, a bullish order block may initially act as support. If price later breaks decisively below that area, the same zone can become relevant as resistance when price returns to it.

This is where the idea of a breaker block comes from.





Breaker blocks can therefore help traders understand how a previous support or resistance area has changed its role



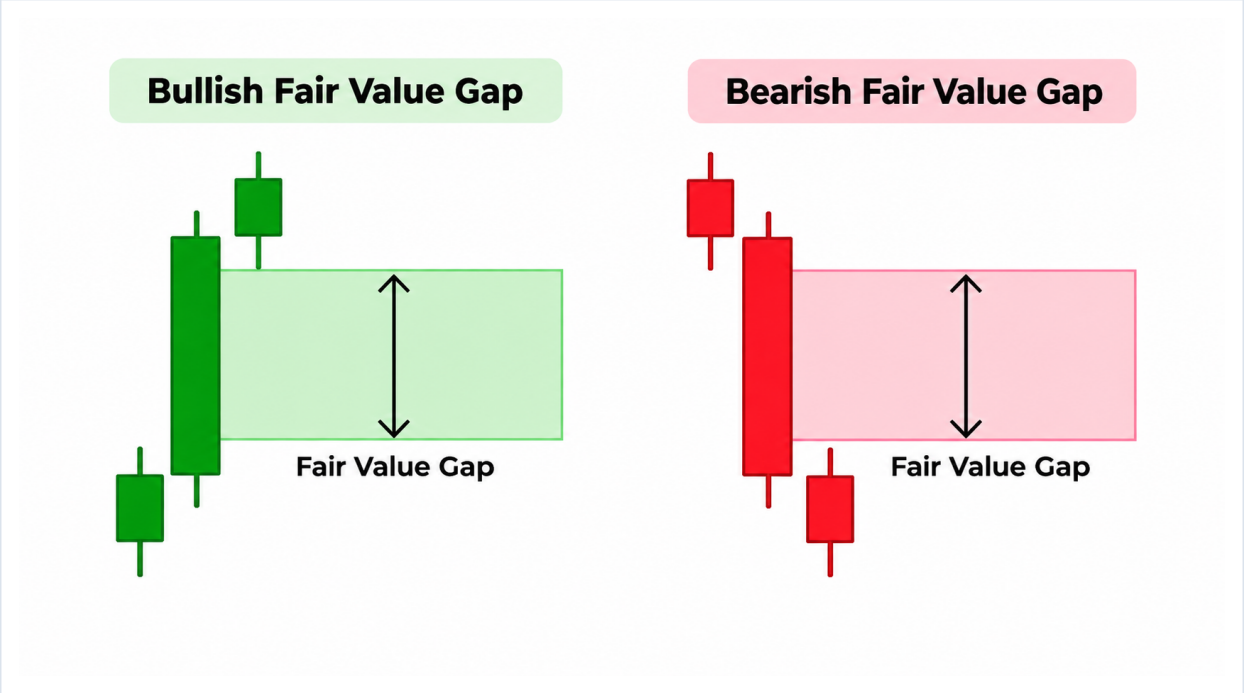
5. Fair Value Gaps (FVG)

A Fair Value Gap is a price imbalance commonly identified using a three-candle formation.

It occurs when price moves aggressively in one direction and leaves an area where the surrounding candle wicks do not fully overlap.

Also, a fair value gap (FVG) is a three-candlestick pattern, with the second candlestick having a very large body and the wicks of the first and third candlesticks not overlapping. FVGs occur when the price moves quickly without sufficient trading volume. As a rule, the price tends to revisit its area, as institutional investors and market makers seek to balance supply and demand.

For example, in a bullish move, the gap between the high of the first candle and the low of the third candle can form a bullish FVG.



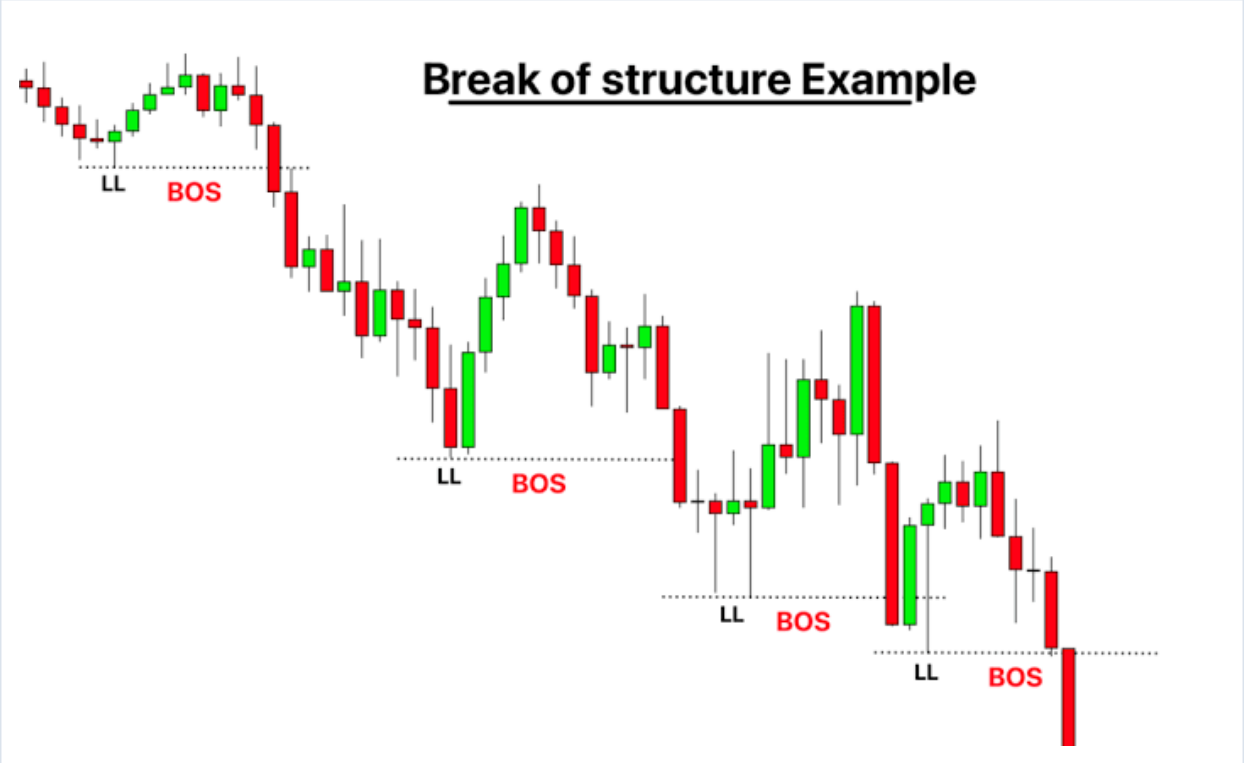
SMC traders watch these areas because price may later return to rebalance part of the imbalance.

An FVG should not automatically be treated as an entry signal. Its location relative to market structure, liquidity and overall market context is important.

6. Break of Structure (BOS)

A Break of Structure (BOS) occurs when price breaks an important swing level in the direction of the prevailing structure.

For example, during an uptrend, price may break above a previous Higher High.



During a downtrend, price may break below a previous Lower Low.

BOS is commonly used as evidence that the existing directional structure may be continuing.

The key is to distinguish a meaningful structural break from a brief price spike.

7. Change of Character (ChoCH)

A Change of Character (ChoCH) is generally used to describe an early indication that price behavior may be changing.

For example, suppose the market has been making:



> HH → HL → HH → HL

If price then breaks an important Higher Low, this may indicate that bullish structure is weakening.

A potential transition could then develop:

> HH → HL → HH → break of HL → LH → LL

ChoCH therefore focuses on a change in the behavior of price, rather than simply identifying continuation.

A trader should still seek additional confirmation because a single structural break does not guarantee a complete trend reversal.

8. Premium and Discount

SMC traders often divide a significant price range into two areas:

Premium: upper portion of the range

Discount: lower portion of the range

The midpoint is commonly referred to as equilibrium.

In a bullish context, traders may look for potential buying opportunities in discount areas.

In a bearish context, traders may look for potential selling opportunities in premium areas.

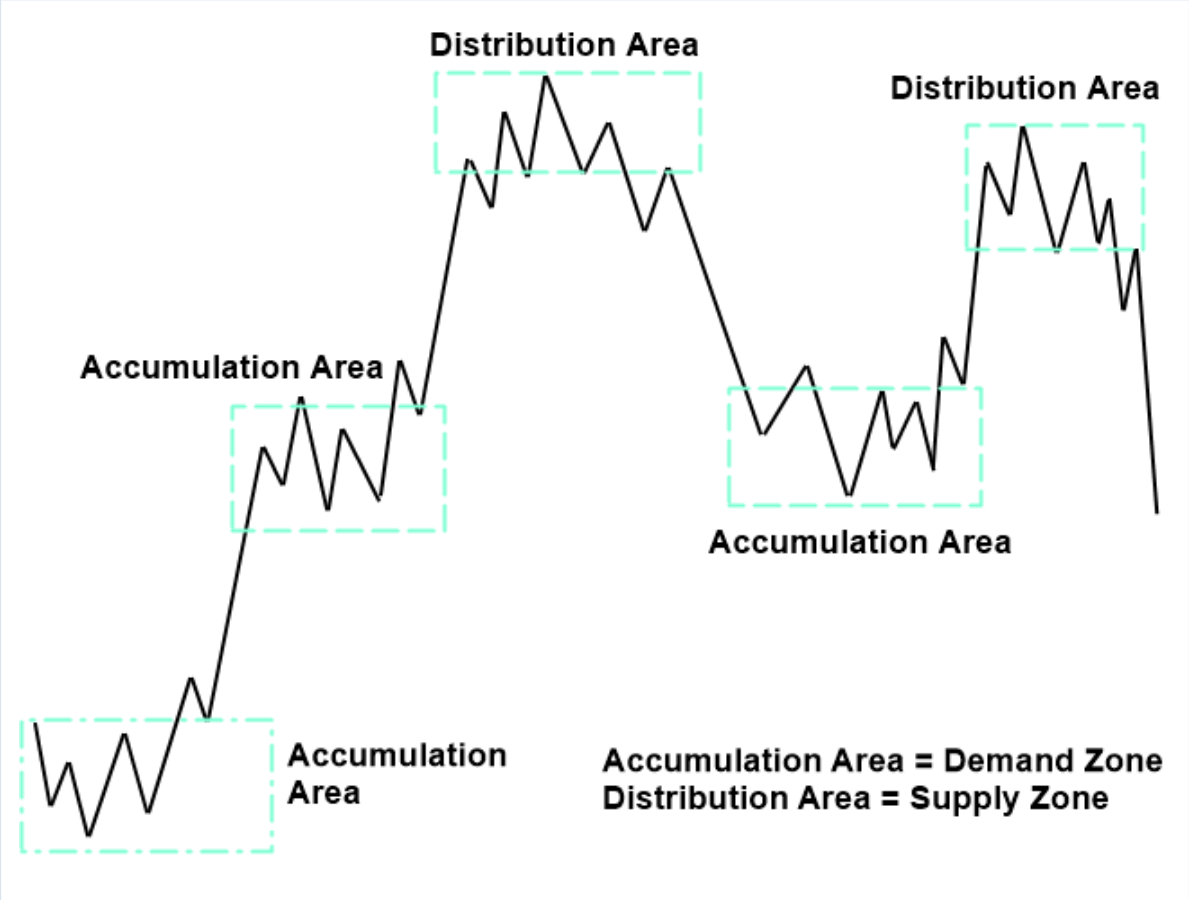
This concept helps provide context for where a setup occurs rather than treating every order block or liquidity level equally.

9. Accumulation and Distribution

SMC also considers how price behaves within ranges.

Example:





Accumulation describes a period where buying activity is believed to be taking place within a relatively defined range before a potential expansion higher.

Distribution describes a period where selling activity is believed to be taking place before a potential expansion lower.

These ideas are closely related to the Wyckoff framework and are often combined with concepts such as liquidity sweeps, market structure and breakouts.

10. Liquidity Grabs

Liquidity grabs are deliberate actions taken by institutional investors to force retail traders to close their positions prematurely. These sharp price movements occur near key levels where stop-loss orders often gather. These orders, in turn, serve as a source of liquidity for large market participants who open their positions at the most favorable prices.



After protective orders are triggered, the price makes a sharp reversal, signaling reduced liquidity at this level. Analysis of false breakouts plays a crucial role in smart money strategies, as it allows one to predict the intentions of key participants and further price movements.

With the understanding of how the market functions, retail participants can identify favorable points for opening positions, avoid false breakouts, improve the accuracy of technical analysis, and minimize the risks of potential losses.

How the Concepts Work Together

The strength of SMC comes from combining the concepts rather than trading each one in isolation.

A simplified analysis could look like this:

01 **Identify the higher-timeframe structure**
Is the market bullish, bearish or ranging?

02 **Identify important liquidity**
Where are obvious highs, lows, equal highs or equal lows?

03 **Wait for price to interact with liquidity**
Does price sweep or break an important level?

04 **Study the market structure reaction**
Does price produce a BOS or ChoCH?

05 **Identify relevant zones**
Look for an order block, breaker block or FVG.

06 **Consider premium or discount**
Is the setup occurring in a logical area of the range?

07 **Look for confirmation**
Avoid entering simply because price touched a zone.

08 **Define the risk before entering**
Know where the setup becomes invalid and where the potential target lies.

11. SMC and Risk Management

SMC does not eliminate trading risk.

A trader can correctly identify an order block, FVG, liquidity sweep or structural break and still have the trade fail.

Risk management therefore remains essential.

A practical framework should define:

- Maximum risk per trade
- Stop-loss location
- Position size
- Trade invalidation level
- Target area
- Maximum number of trades
- Conditions under which no trade should be taken

The 1–2% risk-per-trade guideline often used in educational SMC material should be treated as a risk-management convention, not a universal rule. Your course should encourage traders to

choose risk levels appropriate to their capital, strategy and circumstances.

The SMC Mindset

The most important lesson is that SMC is not simply a collection of terms such as BOS, ChoCH, FVG and Order Block. It is a way of organizing price information.

A trader asks:

> *Where is price?*
> *What is the current structure?*
> *Where is liquidity?*
> *What happened when liquidity was reached?*
> *Did the structure change?*
> *Where are the relevant price zones?*
> *Where is the trade invalidated?*
> *What is the risk-to-reward profile?*

Once these questions become part of your analysis, the chart becomes less about randomly searching for entries and more about understanding the sequence of price movement.

Practical Setups

Example 1 (Before & and After)





Example 2

Structure forms → liquidity is created → price sweeps the low → price enters the demand zone → buy setup

Reason for the buy?

That's because price swept the previous low into the 696–697 demand zone, giving a bullish setup for a move higher


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Example 3





What does “Sweep” mean?

A sweep is when price briefly moves beyond an obvious previous high or low, often taking out orders around that level, before reversing.

For example, on the left side of the chart, price pushes above a previous high.

The idea being illustrated is:

> **Old high → price pushes above it → liquidity is taken → price reverses**

For a beginner, think of it as price cleaning out orders around an obvious level.

A sweep by itself isn't necessarily a reason to enter a trade. You normally want additional confirmation.

What does “Break” mean?

The Break labels are pointing to places where price breaks an important previous swing/structure level.

For example:

> **Higher high → higher low → price breaks below the previous low**

That can indicate that the previous upward structure has changed.

This is often called a break of structure (BOS) or, depending on the trader's terminology, a market structure break.

What is “Inducement Liquidity”?

This is a more advanced concept.

The idea is that price creates an obvious swing or setup that attracts traders into positions, creating liquidity around that area.

In the screenshot, the “Inducement Liquidity” label is placed around an intermediate price structure before the larger move.

As a beginner, you can simply remember:

Inducement is an area that may attract traders before price makes the larger move.

> **N/B**
>
> Don't treat every small swing as inducement. It needs to make sense within the broader market structure.

Note: This Doc will be updated from time to time.